

**RESEARCH & INSIGHTS HUB**

The Ethereum vs Solana Debate

Why are institutional investors paying more attention to ETH and SOL?

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Institutional investors have been anchored on BTC for most of this cycle as evidenced by bitcoin's 63% dominance of the total crypto market cap:

- However, market attention has started to pivot back to select tokens including ETH and SOL, in part because these look undervalued in the context of BTC making new all-time-highs.
- For the coming quarter, the price action for these tokens could be influenced by several factors, in our view: (1) the potential approval of new single-name spot ETFs by the SEC, (2) the high probability of staking being integrated into ETF investment vehicles, and (3) a rise in institutional capital flowing from sources such as corporate treasuries.

Nevertheless, the crypto community often frames the debate between Ethereum and Solana as an "either/or" investment choice: fast or faster, modular or monolithic. But we believe the narratives and investment cases for ETH vs SOL are becoming more differentiated and not necessarily mutually exclusive.

- For example, ETH is increasingly being used by institutional players as a proxy for the larger real world assets (RWA) theme – spanning stablecoins, payments and tokenization more broadly.
- Solana's investment thesis centers on the network's edge in speed, user engagement and revenue generation compared to competitors. While its activity has been dominated by memecoin trading, it has gained traction in other areas as well.

In the short term (3Q25), we think market momentum for both tokens will be driven more by technicals (i.e. supply vs demand factors) than fundamentals, amid positive market conditions, while the upcoming technical upgrades for both networks seem less relevant.

For more details, see our [full report](#).

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